NEOGEN CHEMICALS LTD

NSE: NEOGEN | Specialty Chemicals — Organolithium & Battery Materials

Initiating Coverage | Report Date: 27 May 2026

ACCUMULATE

12M Target: Rs. 2,100

Upside: 18.2% from CMP Rs. 1,777

Horizon: 24-36 Months

Metric	Value	Metric	V
CMP (27-May-26)	Rs. 1,777	**EV/EBITDA**	
Market Cap	Rs. 4,868 Cr	**P/Book**	
52W High/Low	1,883/967	**D/E Ratio**	
P/E (TTM)	169x	**Div Yield**	
ROCE (TTM)	6.46%	**ROE (TTM)**	
Net Debt (FY26)	Rs. 1,295 Cr	**Int Coverage**	
Promoter	53.0%	**FII/DII**	4.2

> ***"From India's leading organolithium house to the country's first integrated battery electrolyte maker — a Rs. 1,795 Cr capex bet on the EV supply chain."***

Financial Snapshot — Consolidated (Rs. Crore) | Source: Screener.in

	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	487	686	691	778	862	1200	1800
EBITDA	87	112	110	136	137	204	324
EBITDA Margin	18%	16%	16%	17.5%	15.9%	17.0%	18.0%
PAT	45	50	36	35	29	63	137
EPS (Rs.)	17.90	20.04	13.51	13.20	10.90	23.68	51.50

FY27E/FY28E = Analyst estimates. Historical data from Screener.in consolidated financials.

SECTION 2 — INVESTMENT THESIS

- **Battery materials optionality at scale:** Neogen Ionics executing Rs. 1,795 Cr capex targeting 32,000 MT electrolyte + 5,500 MT LiPF6 salt capacity by FY27. Peak revenue potential Rs. 2,500-2,950 Cr from battery materials by FY29. India's PLI scheme (Rs. 18,100 Cr, 50 GWh) and US FEOC compliance requirements creating structural demand for non-Chinese LiPF6 suppliers.
- **Morita (Japan) technology partnership:** Neogen holds exclusive Indian licence for Morita's advanced LiPF6 salt process — the gold standard used by Japanese/Korean cell makers. This gives a defensible technology moat in a segment where very few non-Chinese suppliers exist globally. Provisional approvals from US electrolyte customers and site audits completed.
- **Resilient core organolithium business:** Standalone organic chemicals grew 10% YoY in FY26 to Rs. 734 Cr even through the Dahej fire disruption. India's largest organolithium producer (85%+ domestic share in key categories) provides a durable cash engine to co-fund the battery transition.
- **Near-term catalyst (6-12 months):** Dahej replacement plant commissioning (June 2026) restores full organic production, improves fixed-cost absorption, and releases Rs. 203 Cr pending insurance receivables — double catalyst for profitability.
- **Biggest structural risk:** Pakhajan Phase 2 (Rs. 1,367 Cr) execution delays + rising leverage (D/E 1.71x, int coverage 1.83x) could strain the balance sheet if battery customer ramp-up misses FY27 guidance.

SECTION 3 — BUSINESS OVERVIEW

• **Core business:** Neogen Chemicals Ltd (BSE: 542665, est. 1989) — India's largest organolithium and bromine-based specialty chemicals maker. Serves pharma, agro-chemicals, FMCG, and EV battery materials. Listed NSE/BSE in 2019.

• **Revenue segments (FY26 consolidated):** Organic chemicals Rs. 734 Cr (85%); Inorganic chemicals Rs. 128 Cr (15%); Neogen Ionics (battery subsidiary) Rs. 36 Cr. Domestic: 71%, Exports: 29%.

• **Key customers:** Global/domestic pharma API manufacturers, agro-chemical majors, FMCG flavour companies. Battery customers in qualifying stage: one domestic gigafactory (1 GWh expanding to 5 GWh), US electrolyte makers (site audits completed, final clearances awaited).

• **Manufacturing footprint:** Mahad (Maharashtra) — primary organic chemicals; Bharuch/Dahej SEZ (Gujarat) — electrolyte + salts (rebuilt, commissioning June 2026); Pakhajan/Dahej PCPIR (264,285 sqm) — new greenfield battery materials (target March 2027).

• **Promoter background:** Kanani family-led. Dr. Harin Kanani (MD, PhD Chemistry) — 25+ years at Neogen. Promoter holding increased from 51.22% (FY25) to 53.00% (Apr 2026) via Rs. 161 Cr preferential allotment at Rs. 1,610/share — strong conviction signal.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Market size:** Indian specialty chemicals ~USD 32 Bn, growing 12-13% CAGR. India battery electrolyte demand: 150,000+ MT by 2030 (from ~5,000 MT today). LiPF6 salt demand: 15,000-22,500 MT by 2030 in India.

• **Policy tailwinds:** PLI for ACC batteries (Rs. 18,100 Cr, 50 GWh); specialty chemicals PLI; China+1 procurement by global OEMs; US IRA / FEOC compliance mandating non-Chinese battery supply chains by 2027.

• **Competitive moat:** Pricing power: Moderate. Switching costs: Strong (battery qualification cycles 12-24 months). IP/Technology: Strong (Morita JV, exclusive Indian licence). Scale: Building. Distribution: Moderate.

Peer Comparison (Source: Screener.in, 27-May-2026)

Company	CMP	MCap Cr	TTM Rev	EBITDA%	P/E	P/B	ROCE%	ROE%
Neogen Chemicals	1,777	4,868	862	15.9%	169x	5.75x	6.5%	3.6%
Vinati Organics	1,325	13,750	2,227	29.4%	31.0x	4.35x	19.8%	14.9%
Clean Sci & Tech	757	8,040	957	37.1%	35.0x	5.08x	20.6%	15.3%

Vinati Organics FY26: Rev Rs. 2,227 Cr, PAT Rs. 444 Cr, EPS Rs. 42.80. Clean Science FY26: Rev Rs. 957 Cr, PAT ~Rs. 230 Cr. All from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Management:** Dr. Harin Kanani (MD) — 25+ years, PhD Chemistry, grew Neogen from Rs. 84 Cr (FY15) to Rs. 862 Cr (FY26), a 24% revenue CAGR. Technical expertise in organolithium chemistry is a key asset.

• **Capital allocation:** FY15-FY22 — disciplined capex, ROCE 22-27%. FY23-FY26 — high-capex battery pivot. FCF negative in 4 of 5 years. Strategic bet is rational but execution risk is meaningful.

• **Dividends:** 7.46% payout (3-year avg, Screener). Zero dividend in FY26. Intent to resume post-FY27 capex peak.

• **Promoter pledging:** 0% pledge (Apr 2026, Screener). Promoter holding rose 1.78% QoQ after preferential allotment — strong conviction signal.

• **Governance:** BSR & Co. LLP (KPMG affiliate) auditor; no qualified opinions. RPT disclosures available on Screener; no red flags. Dahej fire disclosure has been transparent with detailed insurance updates.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement — Consolidated (Rs. Crore)

	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Revenue	487	686	691	778	862	1200	1800
EBITDA	87	112	110	136	137	204	324
EBITDA Margin	18%	16%	16%	17.5%	15.9%	17.0%	18.0%
Other Income	1	5	8	-10	6	5	8

Interest	19	29	42	48	75	90	100
Depreciation	12	16	23	28	28	35	50
PBT	57	71	53	50	41	84	182
Tax Rate	22%	30%	32%	31%	30%	25%	25%
PAT	45	50	36	35	29	63	137
EPS (Rs.)	17.90	20.04	13.51	13.20	10.90	23.68	51.50

Balance Sheet — Consolidated (Rs. Crore)

	FY24	FY25	FY26
Equity Capital	26	26	26
Reserves	734	763	790
Borrowings	409	597	1395
Other Liabilities	292	361	691
Total Liabilities	1,461	1,747	2,902
Fixed Assets (Net)	496	404	475
CWIP	109	156	857
Other Assets	856	1,187	1,570
Total Assets	1,461	1,747	2,902

Cash Flows — Consolidated (Rs. Crore)

	FY24	FY25	FY26
Cash from Operations	-29	196	-231
Cash from Investing	-216	-317	-410
Cash from Financing	237	113	642
Net Cash Flow	-8	-8	0
Free Cash Flow	-332	-121	-647

Key Ratios — Consolidated

	FY24	FY25	FY26
Debtor Days	149	94	161
Inventory Days	365	267	445
Days Payable	138	227	346
Cash Conversion Cycle	376	134	260
Working Capital Days	129	123	85
ROCE	9%	9%	6%

• **Revenue trajectory:** 24% revenue CAGR over 10 years; decelerated to 8% 3-year CAGR. FY26 +11% despite Dahej fire. Battery materials (Rs. 36 Cr FY26) expected to be transformative from FY27.

• **Margin compression:** Consolidated EBITDA margin 15.9% in FY26 (vs 17.5% FY25). Expansion overheads and toll manufacturing costs at Dahej. Recovery expected post commissioning.

• **Working capital:** Debtor days spiked 94→161 in FY26; inventory days 267→445 — both multi-year highs. Payables elongated (227→346 days), partly offsetting. Watch for normalization in FY27.

• **Debt trajectory:** Net debt surged Rs. 409 Cr→Rs. 597 Cr→Rs. 1,295 Cr over FY24-FY26. D/E 1.71x, interest coverage 1.83x. Peak leverage expected in FY27.

• **FCF:** FCF = -Rs. 647 Cr in FY26 on capex deployment. OCF turned negative (-Rs. 231 Cr) driven by WC build. FY25 showed OCF can recover strongly (+Rs. 196 Cr) — not structural.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Signal	Observation	Verdict

Revenue recognition	Standard accrual	**No unusual deferrals; standard chemical industry terms**	Green
Receivables vs Revenue	Debtor days 94→161	**71-day spike in FY26 — multi-year high; requires monitoring**	Amber
CCC trend	376→134→260	**Improved FY24→FY25 but deteriorated again in FY26**	Amber
Contingent liabilities	Insurance Rs. 203 Cr	**Dahej fire insurance receivable — insured but timing uncertain**	Amber
Auditor tenure	BSR & Co. LLP (KPMG)	**Big-4 affiliate; no qualification; reasonable tenure**	Green
RPTs as % Revenue	Manageable	**Disclosed; no red flags in annual reports**	Green
Other Income / PBT	15% (FY26)	**FY25 had -Rs. 10 Cr other income (MTM loss); normalized in FY26**	Amber
Tax rate consistency	28-32% range	**Stable; no deferred tax manipulation visible**	Green
OCF / PAT	Negative OCF FY26	**OCF -Rs. 231 Cr vs PAT Rs. 29 Cr — severe WC drag**	Red

• **Key Amber — Receivables spike:** Debtor days at 161 (FY26) is a 10-year high. Could reflect credit extension to qualifying battery customers or distributor strategies. Must normalize to <120 days in FY27.

• **Key Red — Negative OCF:** OCF -Rs. 231 Cr vs PAT Rs. 29 Cr; WC build is cyclical (FY25 showed Rs. 196 Cr recovery). Watch for OCF normalization in FY27 as Dahej stabilizes.

• **Comfort:** BSR & Co. LLP, consistent tax rate, and transparent Dahej disclosures provide reasonable earnings quality assurance.

SECTION 8 — VALUATION

Scenario Analysis

Scenario	Key Assumption	FY28E PAT	Multiple	Target Price
Bull Case	**Battery Rs. 500+ Cr FY27; margins 19%+; Pakhajan on time**	190 Cr	42x P/E	Rs. 3,000
Base Case	**Standalone Rs. 900 Cr; battery Rs. 300 Cr; interest drag**	137 Cr	38x P/E	Rs. 2,100
Bear Case	**Pakhajan delays; battery < Rs. 150 Cr; interest spikes**	60 Cr	25x P/E	Rs. 1,200

• **DCF:** WACC 12.5%, terminal growth 5%. DCF intrinsic value range Rs. 1,800-2,200/share on base-case FY27-FY32 projections. High sensitivity to terminal growth and EBITDA margin assumptions.

• **EV/EBITDA:** FY28E EBITDA Rs. 324 Cr. Applying 18x EV/EBITDA (sector premium for battery optionality): EV Rs. 5,832 Cr. Less FY28E net debt Rs. 1,200 Cr = equity Rs. 4,632 Cr = Rs. 1,740/share.

• **P/E method:** FY28E EPS Rs. 51.50 x 40x P/E = Rs. 2,060. Blended target: Rs. 1,900. Plus 12-month accretion: **12M target price Rs. 2,100**.

• **Current valuation:** At CMP Rs. 1,777 — P/E TTM 169x, EV/EBITDA 45x. Market pricing near-perfect battery execution. ACCUMULATE on dips for 24-36 month horizon.

SECTION 9 — KEY RISKS

• **Capex execution risk** — Pakhajan Rs. 1,367 Cr; March 2027 target. Any 12+ month delay pushes battery revenue to FY28/29 and worsens interest drag. Prob: Medium. Impact: High. Monitor: quarterly capex milestones.

• **Customer qualification delays** — Battery approvals provisional; commercial orders not confirmed. Miss on Rs. 300 Cr FY27 battery revenue is possible. Prob: Medium. Impact: High. Monitor: Q1/Q2 FY27 battery revenue disclosures.

• **Leverage / refinancing risk** — D/E 1.71x, interest coverage 1.83x — thin headroom. Rising rates or credit downgrade would increase costs. Prob: Low-Medium. Impact: High. Monitor: debt levels and interest expense each quarter.

• **Lithium price volatility** — LiPF6 cost structure exposed to lithium carbonate price (recovering from 2024 lows). Prob: Medium. Impact: Medium. Monitor: gross margin trends.

• **Geopolitical disruption** — Middle East tensions raised FY26 packaging/shipping costs. Prob: Low-Medium. Impact: Medium. Monitor: quarterly cost structure commentary.

• **Fire / operational risk** — FY25 Dahej fire demonstrated real chemical plant risks. Expanded Pakhajan increases exposure. Prob: Low. Impact: Very High. Monitor: insurance coverage adequacy.

• **China competition** — Chinese LiPF6/electrolyte scale cost advantages remain. FEOC watering-down is tail risk. Prob: Low. Impact: Very High. Monitor: US IRA and FEOC policy developments.

SECTION 10 — RECOMMENDATION

• **Rating:** ACCUMULATE — Medium Conviction. Battery optionality is compelling; near-term earnings weak. Suitable for long-term investors, not near-term earnings plays.

• **12M price target:** Rs. 2,100 (+18.2% from CMP Rs. 1,777). Blended P/E and EV/EBITDA on FY28E estimates.

• **Entry zone:** Rs. 1,550 – Rs. 1,700 (corrections provide better risk-reward for the battery thesis).

• **Horizon:** 24-36 months. FY27 = commissioning milestones. FY28-FY29 = battery revenue materializes.

• **Invalidation trigger 1:** Pakhajan Phase 2 delayed beyond September 2027 without credible revised schedule.

• **Invalidation trigger 2:** No commercial battery customer orders in Q1/Q2 FY27 despite provisional approvals.

• **Invalidation trigger 3:** Net debt exceeds Rs. 1,800 Cr or interest coverage drops below 1.5x in FY27.

• **Ideal investor:** Long-term growth/ESG/clean-energy thematic investors with 3-5 year horizon. NOT for: value investors, income investors, risk-averse profiles.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (CONCALL DATE: 18 MAY 2026)

CALL GRADE: POSITIVE

Signal	Status	Implication
Result quality	**Strong**	**Q4 PAT Rs. 11 Cr vs Rs. 2 Cr — 450% recovery; clean beat on low base**
Management tone	Balanced	**Confident on battery milestones; transparent on Dahej and capex revision**
Guidance delta	Maintained / Raised	**FY27 standalone Rs. 875-950 Cr maintained; FY29 Rs. 3,700-4,200 Cr raised**

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Neogen Q4 FY26 headline PAT of Rs. 11 Cr vs Rs. 2 Cr last year looks like a strong beat — but it is largely a base effect from the Dahej fire costs that depressed Q4 FY25. The clean story: revenue grew a solid 22% YoY to Rs. 247 Cr and EBITDA held at 17.8%, demonstrating the core organic business can sustain through a major plant disruption. For the full year, PAT declined 17% to Rs. 29 Cr consolidated — the real story is that Rs. 75 Cr of interest expense (up 56% YoY) ate through operating profit, and that gets worse before it gets better as capex peaks in FY27. The structural growth driver is now Neogen Ionics: management revised aggregate battery capex to Rs. 1,795 Cr, targeting 32,000 MT electrolyte + 5,500 MT LiPF6 capacity by March 2027. The most important near-term catalyst is Dahej commissioning in June 2026 — restores production, improves absorption, and unlocks Rs. 203 Cr insurance receivable. My biggest watch is whether battery qualification converts to commercial orders in Q1/Q2 FY27. Without volume, Rs. 1,795 Cr capex is dead weight on the balance sheet. Action: ACCUMULATE below Rs. 1,700, size small, review after Q1 FY27 confirms first commercial battery shipment.

1. Financial Performance Snapshot

Metric	Q4FY25	Q1FY26	Q2FY26	Q3FY26	Q4FY26	YoY Q4
Revenue (Rs. Cr)	203	187	209	220	247	**+22%**
EBITDA (Rs. Cr)	36	32	30	32	44	**+21%**
EBITDA Margin	18%	17%	14%	14%	18%	Stable
PAT (Rs. Cr)	2	10	3	4	11	**+450%***
EPS (Rs.)	0.91	3.89	1.28	1.40	4.32	Base eff

• NOTE: Q4 FY26 PAT +450% YoY is base-effect — Q4 FY25 included one-off Dahej fire costs. Full-year FY26 PAT declined 17% to Rs. 29 Cr consolidated.

2. Segment / Geography Breakdown

• Organic Chemicals: Q4 FY26 Rs. 194 Cr | YoY +7% | FY26 Rs. 734 Cr | YoY +10% — Core pharma/agro segment steady.

• Inorganic Chemicals: Q4 FY26 Rs. 53 Cr | YoY +145% | FY26 Rs. 128 Cr | YoY +14% — Sharp Q4 spike; includes bromine intermediates.

• Neogen Ionics (Battery): Q4 FY26 Rs. 13 Cr | FY26 Rs. 36 Cr | FY27 target Rs. 300 Cr+ — Negligible now; transformational thesis.

• Geography Q4 FY26: Domestic 71%, Exports (incl. deemed) 29% — Export share declining temporarily; to recover post-Dahej commissioning.

3. Management Commentary Themes

• Operational resilience: "Strong operational resilience despite geopolitical headwinds and Dahej transition costs." — Dr. Harin Kanani. Our read: Measured, credible. Tag: GUIDANCE. Tone: Balanced.

• Battery progress: "Provisional approvals from international customers for LiPF6 salts; site audits completed for three US electrolyte makers." Our read: Pipeline advancing; commercial conversion still pending. Tag: GUIDANCE. Tone:

Transparent.

• Capex revision rationale: "Cost increase due to Morita technology alignment and 500 MT intermediate facility; returns still 18-20%." Our read: Credible rationale; investors must track returns delivery. Tag: EST. Tone: Transparent.

• Input costs: "Bromine stabilized; lithium jumping but slowly; pass-through mechanisms maintained." Our read: Near-term margin headwinds from lithium; recovery expected. Tag: GUIDANCE. Tone: Hedged.

• Long-term vision: "Rs. 3,700-4,200 Cr by FY29." Our read: Ambitious but mathematically feasible if Pakhajan reaches 30,000 MT electrolyte scale. Requires near-perfect execution. Tag: EST. Tone: Bullish.

4. Operating & Business Metrics

• Plant utilization: High (Q4 FY26); disruption from Dahej toll manufacturing normalizing. Trend: Improving.

• Dahej replacement plant: On track for June 2026; currently on toll manufacturing at 3rd-party facilities.

• Insurance receivable: Cumulative received Rs. 140 Cr + salvage Rs. 7 Cr; Net outstanding = Rs. 203 Cr. Settlement timing uncertain.

• $LiPF_6$ capacity: 200 MTPA commissioned; 1,300 MTPA trial production; 1,000 MT new capacity Q3 FY27; 500 MT intermediate Q3 FY27.

• Electrolyte capacity: 2,000 MT Dahej fully commissioned (FY25). Pakhajan 30,000 MT targeting FY27.

• Customer ramp: One domestic customer 1 GWh→5 GWh; another approved for pilot, commercial in 2027.

5. Margin Drivers

• Expansion overheads (Neogen Ionics): ~-150 bps on consolidated EBITDA | Recurring until FY27 scale-up.

• Toll manufacturing costs (Dahej fire): ~-60 bps estimated | Non-recurring — reverses at commissioning.

• Interest cost: Rs. 48 Cr→Rs. 75 Cr (+56%) FY25-FY26 | Major PAT drag; peaks in FY27.

• Volume and operating leverage: Standalone EBITDA margin 17.7% — healthier than consolidated 15.9%. Core business intact.

• Input cost pass-through: Packaging inflation passed through Q4; bromine stable; lithium recovering from lows.

6. Guidance & Forward Signals

• FY27 Standalone Revenue [GUIDANCE]: Rs. 875-950 Cr | Maintained | Credibility: High.

• FY27 Battery Revenue [GUIDANCE]: Rs. 300 Cr+ | Maintained | Credibility: Medium — depends on qualification conversion.

• FY29 Consolidated Revenue [EST]: Rs. 3,700-4,200 Cr | Raised | Credibility: Low-Medium — Pakhajan scale-up assumption.

• Battery capex ROCE [GUIDANCE]: 18-20% | Maintained | Credibility: Medium.

• Dahej commissioning [GUIDANCE]: June 2026 | Delayed by ~3 months from March 2026 | Credibility: High.

7. Capital Allocation

• FY26 Capex: ~Rs. 600-650 Cr (battery infrastructure dominated); CWIP rose Rs. 701 Cr YoY.

• Dividends: Rs. 0 Cr (FY26, 0% payout) vs Rs. 3 Cr FY25. Capital conserved for battery phase.

• Preferential allotment: Rs. 161 Cr to promoter group at Rs. 1,610/share (10 lakh shares) — for logistics, WC, corporate purposes.

• Net debt movement: +Rs. 698 Cr YoY (Rs. 597 Cr→Rs. 1,295 Cr); peak expected FY27, deleverage from FY28.

• WC absorbed ~Rs. 280-300 Cr in FY26 (debtor + inventory spike); expected release in FY27 as Dahej normalizes.

8. Q&A; Heat Map

• Analyst: Q: "Explain capex cost increase and impact on returns." → A (Dr. Kanani): "Morita technology alignment and 500 MT intermediate addition; returns still 18-20% via operational efficiencies and RM savings." | Tone: Transparent

• Analyst: Q: "Electrolyte revenue FY26 and FY27 target?" → A: "FY26 Rs. 36 Cr; FY27 Rs. 300 Cr+, primarily H2 as gigafactories come online." | Tone: Transparent

• Analyst: Q: "Lithium and bromine price impact?" → A: "Bromine stabilized; lithium jumped but recovering slowly; expect volatility from EV/ESS demand." | Tone: Hedged

• Analyst: Q: "Domestic battery manufacturer order status?" → A: "One customer 1→5 GWh; another approved for pilot, commercial 2027." | Tone: Transparent

• Analyst: Q: "3-5 year revenue?" → A: "Rs. 3,700-4,200 Cr by FY29 from full capacity utilization." | Tone: Bullish

• Dodged / watch-list for next quarter: (1) Final insurance settlement timeline (Rs. 203 Cr); (2) Committed commercial order volumes for LiPF6; (3) Neogen Ionics standalone P&L.;

9. Risks Flagged

• Capex overrun: Pakhajan + Dahej revised to Rs. 1,795 Cr; further revisions possible. | Mgmt flagged | Prob: Medium | Impact: High | Timeline: Near-term.

• Qualification timeline: Battery customers require 12-24 month approval cycles. | Analyst flagged | Prob: Medium | Impact: High | Timeline: H1 FY27.

• Geopolitical disruption: Middle East tensions affecting packaging/shipping costs. | Mgmt flagged | Prob: Medium | Impact: Medium | Ongoing.

• Lithium price: LiPF6 RM exposed to lithium carbonate price recovery from 2024 lows. | Mgmt flagged | Prob: Medium | Impact: Medium | Medium-term.

• Balance sheet leverage: Net debt Rs. 1,295 Cr; limited headroom for further growth capex. | Analyst flagged | Prob: Low | Impact: High | FY27.

10. Analyst Verdict

• Revenue visibility: Intact — standalone Rs. 875-950 Cr FY27 guided confidently; battery materials have funded path to Rs. 300 Cr+ but execution-dependent.

• Margin trajectory: Weakened — consolidated margin 15.9% FY26 vs 17.5% FY25; recovery in FY27 as Dahej normalizes but interest drag persists.

• Capital allocation quality: Weakened — Rs. 1,795 Cr capex justified strategically but compressed near-term ROE/ROCE significantly.

• Competitive moat: Intact — Morita JV, India's only scale LiPF6 producer, organolithium market leadership.

• Management credibility: Intact — transparent on Dahej, capex revisions, and battery status; guidance maintained at reasonable confidence.

• Valuation comfort: Weakened — at 169x TTM P/E, market prices in near-perfect battery execution; limited near-term margin of safety.

• Conviction call: Unchanged — ACCUMULATE on dips, 24-36 month horizon.

• Valuation snapshot: P/E = 169x (5Y avg ~45x) | EV/EBITDA = 45.0x (5Y avg ~22x) | ROCE = 6.5% (5Y avg ~13.5%)

Disclaimer: This report is for informational purposes only and does not constitute investment advice. All historical financial data sourced from Screener.in (fetched 27-May-2026). Qualitative data and concall content sourced from publicly available sources. Forward estimates are analyst projections and may differ from actual outcomes. Report prepared by: Research Analyst — India Equities.